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THE WHITE HOUSE

WASHINGTON

MEMORANDUM OF CONVERSATION

SUBJECT: Meeting with President Cesar Gaviria of Colombia (U)

PARTICIPANTS: The President
James A. Baker III, Secretary of State
Richard Thornburgh, Attorney General
John Sununu, Chief of Staff
John Walters, Acting Director, Office of National Drug Control Policy
Brent Scowcroft, Assistant to the President for National Security Affairs
Robert M. Gates, Assistant to the President and Deputy for National Security Affairs
Bernard W. Aronson, Assistant Secretary of State for Inter-American Affairs
Thomas McNamara, U.S. Ambassador to Colombia
William T. Pryce, Senior Director for Latin American and Caribbean Affairs, NSC Staff (Notetaker)
Alex Schiavo, Interpreter

Cesar Gaviria Trujillo, President
Luis Fernando Jaramillo, Minister of Foreign Affairs
Jaime Giraldo, Minister of Justice
Rudolf Hommes, Minister of Finance
Luis Fernando Vergara, Minister of Mines and Energy
Jaime Garcia-Parra, Colombian Ambassador to the U.S.
Carlos Gustavo Arrieta, Procurator-General
Gabriel Silva, Adviser to the President

DATE, TIME February 26, 1991, 11:15 a.m. EST
AND PLACE: The Cabinet Room

The President: With your permission I would like to say a word of welcome. We are delighted you are here. I want to assure you that we have not lost interest in this Hemisphere. Since there are times when it looks like the President and the Secretary of State are doing other things, there is a worry that we will neglect our own area, but this must not be, and we are not going to be in that situation here. (C)

We talked in the other room about the narcotics fight, and President Gaviria assured me he is not going to let up on the battle against narcotics, so we have covered that. But, we can cover that here also. I would also like to ask at an appropriate

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time, to ask Brent and Secretary Baker to tell us about the situation in the Gulf. We view this as an important achievement. It's the first one where the United Nations has acted as it was intended and we want to thank you for your support. (C)

President Gaviria: I want to express my congratulations on the wonderful success you have had. We were very pleased to vote for the United Nations resolutions. We are glad the resolutions got through and we are proud to be a part. At the end, we want to be completely involved in helping get a solution. As you know, we sent troops to Korea and have troops in the Saini Peace keeping force. We offer you our cooperation. (C)

The President: We are very grateful for your cooperation at the United Nations. Secretary Baker keeps reminding me, and I want to take the opportunity to thank you once again. (U)

President Gaviria: We would like to talk about several things, but would like to hear from Secretary Baker and General Scowcroft. (U)

The President: Jim, why don't you start? (U)

Secretary Baker: I was talking with the Ministers about this when you came in. I made the point that what Saddam Hussein is portraying as a military withdrawal is not a withdrawal, it is a retreat forced by the coalition forces. Last night the war had taken a decisive turn. (C)

The Secretary General said he was not surprised. First of all there was a mention of the Soviet plan which ignored eleven of the UN Security Council resolutions. The President said that there must be a cessation of the SCUD attacks, that there must be a plausible commitment to accept the other eleven resolutions. That was fully endorsed by discussions at the United Nations. The Soviets adopted a positive attitude, save for their premonition to talk about a cease-fire. (C)

This morning there was an address by Hussein saying all sorts of things, but he did not say that Iraq gives up all claims to Kuwait. (C)

Our position is that you cannot give a political victory to a man who caused all this suffering. We must make no mistake, this is a significant military defeat. We have forces at risk. We must continue, but we will not fire on unarmed soldiers. We will meet again today. I believe that the position of most of the coalition forces will be that a cease-fire is premature in the absence of approval of the other eleven resolutions. Resolution 668 which is what I came to Bogota about, says we must restore the situation. (C)

The President: Brent Scowcroft is concerned a little more with the military side. I want to say the reports are devastating. The number of oil wells destroyed, what is it? (C)

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General Scowcroft: On the order of 500 out of 900. The military campaign is going very well. After the air campaign had weakened the forces, we were pursuing a defensive strategy along the Southern Border of Kuwait where we attacked to hold the Iraqi forces in place. The main attack was to go around. What happened was, when we hit the defense, we found them very porous, not heavily defended. There was not much desire to fight and defend. Our forces have paused to refuel before making the sweep to the East. (C)

Secretary Baker: There are now 30,000 prisoners of war. (C)

The President: We would be glad to respond to questions. I assume there will be some. It may be that our troops are going in now. Some of it depends on the weather. I would be glad to respond to any questions you may have or we could go on to a discussion. (C)

President Gaviria: I would like to ask our Ambassador to mention trade. (U)

Ambassador Garcia-Parra: We are very gratified that the act (Andean Free Trade Initiative) has been resubmitted. This has very great political meaning for us. The President needs something to show in terms of economic actions in the United States in connection with the fight in Colombia. We would like to see something more in terms of action. There are restrictions in the Act which we would have rathered be removed. But even so we look forward to seeing the Act passed in Congress. We have wondered about procedures. Congress' schedule is crowded. We worry that the schedule will be delayed. We see Mexico being a center of your attention. We have a very generous letter from Ambassador Hills and are sure the Administration will make a major effort with Congress. We hope everyone will have the will that is needed to back the Act. It has been our observation that if the Administration has the will, Congress acts (e.g. the Coffee Pact in the early 1980's). Therefore, we need to have your will take the lead. (C)

We had a problem with the Coffee Agreement which has expired. (C)

We hope that there will be approval in Congress. We hope that the Act will get through without delay. (C)

On the Enterprise for the Americas, we have established a bilateral forward framework agreement and a commission. We hope to set up commission working groups on all aspects. We want to lift more tariff restrictions. We want to go further than the trade framework agreement. We want to go to a Free Trade Agreement with the United States. We hope measures we have taken have been observed. We want to have groups recognize the measures we have taken. We are open to investment. We give equal treatment to foreign and domestic companies. We have passed labor legislation. We want your government to recognize

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the steps we have made. We would like to be assigned the highest priority after Mexico for a free trade agreement. ~~(C)~~

The President: With your permission, I would like to ask Ambassador Hills to respond. But before that, I want to say that on the Enterprise for the Americas we will press for speedy action on the parts of the legislation that we did not get into law last year. We will be fully behind it. I will mention it in my statement. Just this morning we had a meeting with key legislators telling them of the need to be more focussed on trade. We have Carla Hills here and I would like to ask her to speak. ~~(C)~~

Ambassador Hills: We admire very much some of the steps taken by the Colombian Government. Let me say that we are in something of a vulnerable position regarding fast track. If you think it is a situation where we ask and Congress acts, this is not the case. I think we are being put in a difficult situation. We will put our shoulders to the wheel on all measures. There is much we can do. I look forward to working with you on a whole range of issues. ~~(C)~~

The calendar from March until June 1st is a full schedule for us. We will do first the North American Free Trade Agreement, then other issues. ~~(C)~~

Ambassador Garcia-Parra: Will we be able to get the Act (Andean Trade Initiative) this year? ~~(C)~~

The President: We will push for it. ~~(C)~~

Ambassador Hills: We will push very hard. ~~(C)~~

President Gaviria: Before I make a comment regarding judicial policy, I would like the Minister of Economy to make a statement. (U)

Minister Hommes: We have worked hard to keep close and positive relations with the commercial banks. We have not benefitted from the Brady Plan because we have paid our commercial debts. We still have problems with energy. We have a large debt. We need to restructure our five billion dollar debt. We are working with Treasury. We are looking for innovative ways to approach this. ~~(C)~~

We are discussing the refinancing of CARBOBOL where there is a debt of about \$400 million. In discussing this with Deputy Treasury Secretary Mulford, we talked about the possibility of issuing \$130 million in Zero Coupon Bonds as possible collateral for private sector financing. This could be useful. We are working on the hope to get assurances from Treasury before June on EXIM Bank extension. We feel we have definite strengths, that we are clearly justified in seeking an extension, that there would be no non payment. We think this will be a key leading to continuing exports. ~~(C)~~

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The President: Thank you very much. Jim, do you want to add anything? (U)

Secretary Baker: We want very much to find a workable solution to the problem with EXIM. I am told that EXIM has this under active consideration and we hope to get back by July 1st. I want to second what has been said about Colombian debt. During my three and one-half years as Secretary of the Treasury they were solid performers. That is something to be proud of. We want to work with you on CARBOCOL. (C)

The President: Are there other countries in the hemisphere who have done as well? (U)

Secretary Baker: No, there are no other countries. (U)

The President: Did you want to cover other issues? (U)

President Gaviria: I want to say something regarding the new judicial policy. We are committed as ever to battling the narcotics traffickers. The changes in policy have taken to reduce violence which has done so much damage to political life. Three hundred policemen killed. Terrorism. We have to look at the reality of Colombian political life. Extradition cannot be the main weapon; it is very unpopular. (C)

The President: Someone told me that one of the polls said that there is 80 percent opposition. (C)

President Gaviria: This is right. Over 80 per cent are opposed to extradition. We are trying to say that we don't use extradition as the only tool. We are fighting and have various weapons. (C)

This is why we offer surrender. They are surrendering not because of extradition, but because of police actions. They say they are surrendering because they do not want to be killed. The police have been very effective regarding this. They have killed several Escobars. (C)

The police have been very effective in interdicting 11.5 tons which is double last year. We are heavily committed. We believe in interdiction. The Peruvians just seized 12-13 tons a year. We are making a much more effective effort. We are utilizing both the military and the police. There is a movement of narco-traffickers to other countries. We are satisfied with what the U.S> is doing in reducing consumption, but consumption is growing in Europe and Japan. It is so important to have international cooperation. There are countries like the British, where there is not great production or consumption, but they can help on precursor chemicals. The European and Japanese consumption is causing new problems. We want to see international cooperation expanding everywhere. (C)

The President: Thank you. On this we are fully agreed. We are happy to hear your exposition since you know that some in the

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U.S. have speculated that your approach was less firm than your predecessor. I will be able to say "wait a minute -- it's a new approach, but not any less." I would like to ask the Attorney General to say a few words on this. (C)

Attorney General Thornburgh: Thank you Mr. President. We met with Minister of Justice Geraldo and had a complete discussion which we will be following up on. One thing you have noted in the success of Colombia's comprehensive policy is that it will take a long term effort. There remain important law enforcement objectives to be accomplished. We need to strengthen the judicial system in your country. This is difficult. Narcotics dealers put pressure on families. We are committed to provide many kinds of advice and assistance. The Attorney General has assured us that extradition is also still a possible alternative. We agree that the goal is to have a system where local problems are dealt with locally. They have explained the process which involves surrender and confession. We agreed that this will allow us to follow up to see that major drug traffickers receive the maximum sentence permissible under the law. I think we are satisfied in view of the fact that we face an enormous array of problems, national and international. We support the UN Vienna Convention. Now that the UN is becoming more effective, it would be good for you and us to ratify the UN Convention. We are interested in maintaining a high level of cooperation between our governments on interdiction and other matters. (C)

President Gaviria: I would like to talk about the Ochoas. This is very important because they are the head of the organization. We have confessions and some evidence, but not enough to give them a hard sentence. It is better to have them in jail, but we need more evidence. We have talked with (not heard). He would rather start with another case. But I think we need to do Ochoa in the next six or seven months. Any skepticism in the U.S. on the judicial aspect of our policy would then be taken care of. (C)

The President: If Justice depositions can be helpful to get the strongest possible cases, i.e. the low monitoring or is it up to the judiciary? (C)

President Gaviria: They have confessed to narco trafficking prior to 1981. We have to prove it after 1981. (C)

Secretary Baker: What happens if the Constituent Assembly eliminates extradition? Can you try again the next year? (C)

President Gaviria: No. (U)

Secretary Baker: That would create problems. It would send a hard signal. (C)

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The President: That would be offset by stiffer sentences. I think they are waiting for us at lunch -- we can continue the conversation there. ~~(C)~~

--- End of Conversation ---

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